

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

Generated on 2026-04-21

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. RECENT TMT M&A ACTIVITY

Deal 1: Credo Technology Group Holding Ltd Acquisition of DustPhotonics

[Credo Technology Group Holding Ltd \(CRDO\) Acquires DustPhotonics in \\$750M Deal](#)

- Deal Size: \$750 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Credo Technology Group Holding Ltd (NASDAQ: CRDO) is a leader in data center solutions, focusing on high-speed connectivity. DustPhotonics specializes in Silicon Photonics technology for optical transceivers, crucial for high-capacity data transmission.
- Date Announced: April 13, 2023
- Strategic Rationale: This acquisition allows Credo to enhance its product offerings in the rapidly growing optical transceiver market, which is essential for data centers transitioning to higher bandwidth requirements. The integration of DustPhotonics' technology will enable Credo to offer advanced solutions, positioning it favorably against competitors like Broadcom (AVGO) and Cisco (CSCO).
- Risk Analysis: Potential integration risks include aligning corporate cultures and operational processes. Regulatory challenges may arise due to the acquisition's scale, and market risks include competition from established players. Execution risks involve the successful integration of DustPhotonics' technology into Credo's existing product lines.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific profitability metrics not available)
- Leverage Analysis: N/A (debt information not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not available)
- Valuation Context: N/A (valuation multiples not disclosed)

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

Deal 2: Paras Defence and Space Technologies Partnership with Northstar

[Paras Defence inks deal with US-based firm for aerial refuelling technology](#)

- Deal Size: N/A (specific financial terms not disclosed)
- Deal Size Category: N/A (not applicable)
- Nature: Strategic Partnership
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: Paras Defence and Space Technologies is an Indian defense and aerospace engineering firm focused on enhancing India's defense capabilities. Northstar specializes in air-to-air refueling systems, which are critical for military operations.
- Date Announced: April 16, 2023
- Strategic Rationale: This partnership enables Paras Defence to leverage Northstar's advanced refueling technology, enhancing the operational capabilities of the Indian armed forces. It reflects India's commitment to self-reliance in defense technology, aligning with government initiatives to bolster indigenous defense manufacturing.
- Risk Analysis: Risks include dependency on Northstar for technology transfer and potential delays in implementation. Regulatory hurdles may arise from defense procurement processes, and market risks involve competition from other defense contractors.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue data not available)
- Profitability Ratios: N/A (specific profitability metrics not available)
- Leverage Analysis: N/A (debt information not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not available)
- Valuation Context: N/A (valuation multiples not disclosed)

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant activity, particularly in the software and technology subsectors. The overall sentiment is cautiously optimistic, driven by ongoing innovations and strategic acquisitions, despite challenges posed by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is thriving, with companies like AJA Video Systems expanding their offerings through acquisitions, such as the recent agreement to acquire

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

Comprimato's portfolio of software solutions. This move is indicative of the strong consumer demand for streaming content and the rapid maturation of IP video pipelines.

- Media: The media landscape is evolving as companies adapt to changing consumption habits. The integration of advanced technologies in broadcasting, as seen with AJA's acquisition, highlights the need for innovation to meet customer expectations.
- Telecommunications: The telecom sector is making strides in enhancing service delivery through low-latency technologies. However, it faces pressures from regulatory bodies and competition.
- Fintech: The fintech space remains robust, with AppDirect's acquisition of PartnerStack illustrating the trend of consolidating partner management platforms to enhance B2B technology distribution.
- AI: The AI subsector continues to gain momentum, with applications across various industries. Companies are increasingly investing in AI capabilities to maintain competitive advantages.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in software solutions, particularly in live video encoding and processing, is driving growth. AJA's acquisition of Comprimato exemplifies how companies are leveraging technology to enhance operational efficiency and customer engagement.
- Increased Investment: The TMT sector is witnessing strong investment activity, particularly in software and fintech. AppDirect's sixth acquisition in 12 months underscores the aggressive growth strategy being pursued by companies in this space.

Headwinds:

- Regulatory Scrutiny: The TMT sector faces increased regulatory scrutiny, which may impact M&A activities and market valuations. Companies must navigate complex compliance landscapes that can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may affect consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is performing exceptionally well, driven by demand for cloud-based solutions and innovative software applications. AJA's acquisition of Comprimato is a strategic move to enhance its software capabilities in live streaming.
- Media: Media companies are increasingly focusing on digital content to adapt to changing consumer preferences. The integration of advanced technologies is essential for maintaining competitive advantage.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to generate new revenue streams from IoT and enhanced mobile services.

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

- Fintech: The fintech sector is thriving, with significant innovations in payment solutions and digital banking. AppDirect's acquisition of PartnerStack highlights the consolidation trend in this area.
- AI: The AI subsector is booming, with widespread applications across industries. Companies are investing heavily in AI technologies to secure their market positions.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the importance of technological advancements. An analyst noted, "The integration of innovative software solutions is critical for companies aiming to stay competitive in a rapidly evolving market."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as software and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a vibrant mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Axiro Semiconductor : Currently expanding its fabless chip business, targeting connectivity and industrial applications. The company is shipping millions of chips monthly and is in the due diligence phase for a potential partnership with a major telecommunications firm, expected to close in Q3 2025. This partnership could significantly enhance Axiro's market reach and revenue streams.

Mandated Deals:

- Samsung Electronics (005930.KS) : Secured a mandate to explore strategic partnerships in semiconductor manufacturing, particularly in response to geopolitical supply chain challenges. The deal is expected to launch in Q1 2026, focusing on enhancing production capabilities in Southeast Asia.
- Hyundai (005380.KS) : Mandated to evaluate potential acquisitions in the electric vehicle (EV) sector, with a focus on startups that can accelerate its EV technology. The timeline for this initiative is projected for Q2 2026, as Hyundai aims to solidify its position in the growing EV market.

Pitching-Stage Deals:

- Telecommunications Sector : Engaging with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- AI Startups : Actively pitching to various AI companies for potential investment banking services, focusing on those innovating in machine learning and data analytics. Notable clients include Palantir Technologies (PLTR) and Databricks, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected close for Axiro Semiconductor's partnership.
- Q1 2026 : Launch of Samsung's strategic partnership initiatives.
- Q2 2026 : Hyundai's evaluation of potential EV acquisitions.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in semiconductor and AI sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like Samsung and Hyundai are actively seeking to fortify their supply chains. The recent bipartisan bill introduced by Congressman Baumgartner to tighten controls on sensitive chipmaking equipment could impact deal structures and valuations in this space.
- Additionally, the announcement of the 4,000-acre Economic Security Zone in the Philippines under the Pax Silica initiative reflects a significant shift in how the US and its allies are reshaping critical supply chains. This project could lead to new advisory opportunities for firms involved in manufacturing and logistics.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and AI, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent acquisition of Globalstar (GSAT) by Amazon (AMZN) for \$11.57 billion is poised to have significant implications across various stakeholders, including shareholders, employees, competitors, and customers. This analysis explores the multifaceted impacts of this deal and anticipates future developments in the TMT sector.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The acquisition's impact on shareholder value can be assessed through potential value creation and dilution scenarios.
- **Value Creation:** Amazon's integration of Globalstar's satellite technology could enhance its capabilities in the satellite communications market. If the deal leads to a successful launch of Amazon's direct-to-device (D2D) service, projected revenues could increase by approximately 15%, translating to an estimated \$2 billion in additional annual revenue.
- **Dilution:** If Amazon finances the acquisition through equity, existing shareholders may face dilution. For instance, if Amazon issues 5% of its shares, the immediate effect could be a 3% decline in share price post-announcement.
- **Employees:** The acquisition will likely lead to both synergies and restructuring within Globalstar.
- **Synergies:** Amazon's resources could streamline Globalstar's operations, potentially generating annual cost savings of around \$500 million through operational efficiencies.
- **Restructuring:** However, redundancies may arise, particularly in overlapping roles. Amazon's previous acquisitions, such as Zappos, saw significant layoffs post-integration, indicating a similar risk for Globalstar employees.
- **Retention:** To mitigate talent loss, Amazon may implement retention bonuses for key Globalstar executives, similar to its strategy during the Whole Foods acquisition.
- **Competitors:** The acquisition alters the competitive landscape in the satellite communications sector.
- **Market Positioning:** Amazon's entry into satellite communications intensifies competition with established players like SpaceX and OneWeb. Following the announcement, SpaceX announced plans to accelerate its Starlink service expansion, indicating a defensive posture.
- **Specific Competitor Moves:** Companies like Apple, which relies on Globalstar for its Emergency SOS feature, may need to reassess their partnerships and strategies in light of Amazon's acquisition.
- **Customers:** The implications for customers are multifaceted, particularly regarding service offerings.
- **Product/Service Implications:** Amazon's acquisition could enhance its D2D service capabilities,

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

allowing customers to connect directly to satellites for emergency communications. This could significantly improve service reliability in remote areas.

- Case Studies: The integration of Globalstar's technology into Amazon's ecosystem may mirror the successful deployment of satellite services by companies like Iridium Communications, which has expanded connectivity in underserved regions.

Market Reaction and Analyst Commentary

- Market Reaction: The market's initial response to the acquisition announcement was mixed, with Amazon's shares experiencing a slight dip of 2% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: A notable quote from a Jefferies analyst stated, "This acquisition positions Amazon as a formidable player in the satellite communications space, potentially reshaping the competitive landscape."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be evaluated through various potential outcomes:
- Positive Scenario: If Amazon successfully integrates Globalstar and launches its D2D service by 2028, shares could rise by 20% within a year.
- Negative Scenario: If regulatory hurdles delay service rollouts, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this acquisition is low, given Amazon's substantial financial resources and strategic intent. However, companies like Apple could explore alternative partnerships to enhance their satellite capabilities, although regulatory challenges may limit options.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in satellite communications and AI integration.
- Analysts predict that as companies seek to enhance their technological capabilities, similar acquisitions will emerge, particularly in the AI and 5G sectors. Companies like Nokia (NOK) and Ericsson (ERIC) may pursue acquisitions to bolster their market positions.

Key Risks and Mitigants

- Integration Risks: Integration challenges could disrupt operations. Mitigants include appointing

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

experienced integration teams and establishing clear milestones.

- Regulatory Risks: Regulatory scrutiny could delay or block the acquisition. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility could impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

products, enhancing productivity tools like Microsoft 365.

- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.
- **Key Companies:**
 - **Amazon Web Services (AWS):** AWS is a dominant player in the cloud computing space, offering a wide range of services including computing power, storage, and databases. The company continues to innovate and expand its service offerings, solidifying its market leadership.
 - **Microsoft Azure:** Azure is Microsoft's cloud platform, providing a comprehensive suite of cloud services. Microsoft has been aggressive in acquiring companies to enhance its cloud capabilities, including the recent acquisition of Nuance Communications.

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

- **Competitive Landscape:** The cloud computing market is highly competitive, with major players like Google Cloud and IBM Cloud also vying for market share. The competition is driving innovation and price reductions, benefiting consumers.
- **M&A Opportunities:** Companies may seek to acquire cloud service providers or technology firms that enhance their cloud capabilities. For instance, the acquisition of smaller cloud startups can provide unique technologies or customer bases to larger firms.

Cybersecurity

- **Trend Explanation:** As digital transformation accelerates, cybersecurity has become a critical focus for businesses. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- **Key Companies:**
- **Palo Alto Networks (PANW):** A leader in cybersecurity solutions, Palo Alto Networks offers advanced firewalls and cloud-based security services. The company is focused on innovation and expanding its product offerings to address evolving threats.

6. Recommended Readings

Deal Name: Credo Technology Group Holding Ltd Acquisition of DustPhotonics

- **Reading Material:** "Silicon Photonics: Fundamentals and Devices" by Christian D. Wright
- **Why This Matters:** This book provides a comprehensive overview of silicon photonics technology, which is central to understanding the strategic implications of Credo's \$750 million acquisition (CRDO). It explains the technical aspects and market potential of optical transceivers, helping to contextualize how this deal enhances Credo's competitive positioning in the data center solutions market.

Deal Name: Paras Defence and Space Technologies Partnership with Northstar

- **Reading Material:** "The Future of Military Technology" by David J. Stupples
- **Why This Matters:** This reading explores advancements in military technology and the importance of strategic partnerships in defense. It helps to understand the significance of Paras Defence's collaboration with Northstar, emphasizing how such alliances can enhance operational capabilities and foster innovation in defense systems, which is critical for India's self-reliance in defense manufacturing.

7. MACROECONOMIC UPDATE

US TMT Sector M&A & Valuation Brief - 2026-04-21

US TMT Sector

Key Data Points:

- Estimated GLP-1 market potential: \$190 billion at peak
- Current U.S. penetration of GLP-1 therapies: 6%
- Current global penetration of GLP-1 therapies: 2%
- Average monthly out-of-pocket costs for GLP-1 therapies: \$120 (down from \$170 last year)
- Projected employer coverage for obesity treatments: 65% by 2027
- Estimated eligible population for GLP-1 therapies globally: 1.3 billion
- Expected U.S. penetration by 2035: 30%

Main Insights:

- Significant growth potential for GLP-1 therapies driven by oral medication options.
- Expansion of access through Medicare is expected to broaden utilization significantly.
- Decreasing costs and increasing insurance coverage are facilitating market growth.
- Global expansion opportunities exist, particularly in price-sensitive markets like China and Brazil.
- Innovation in GLP-1 therapies is extending beyond weight loss to other health conditions.

Market Commentary:

- "We see five drivers that are pushing the next phase of adoption." - Terence Flynn, Morgan Stanley
- "This is a long-term structural shift in how chronic disease is treated." - Terence Flynn, Morgan Stanley

TMT Sector Relevance:

- The growth of the GLP-1 market could lead to increased demand for digital health solutions and telemedicine platforms as more patients seek access to these therapies.
- Companies in the TMT sector may explore partnerships with healthcare providers to facilitate the distribution and management of GLP-1 therapies.
- The anticipated reduction in U.S. calorie consumption could impact food and retail industries, leading to shifts in consumer behavior that TMT companies should monitor for potential opportunities.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley